

Co-Card is a credit card processing company with clients who are interested in Merchant Account (MA) loans. Some of these clients would like to run their own MA system. Other Co-Card clients would like to offer Buy Now Pay Later (BNPL) to their customers.

Pinnacle AI is the solution provider that has experience in developing MA and BNPL systems.

The goal is for Pinnacle AI to assist Co-Card with the system and share revenues. Co-Card will fund a modest amount to Pinnacle AI, then lease the system from Pinnacle AI.

System Licensing (Lease)

This option provides a lower barrier to entry with a structured payment schedule tied to development milestones.

- **Monthly Investment: \$10,000/month** (12-month commitment).
- **Lease Commitment Schedule:**
 - **\$40,000** at project start.
 - **\$8,000 a month**
 - With option to sublease to Co-Card Client
- **Merchant Account Licensing & Revenue:**
 - **Reseller System License to Co-Card clients who wants to run their own Merchant Account Offer:**
 - \$5,000/month
 - \$4,000 to Pinnacle AI
 - \$1,000 to Co-Card
 - Once Co-Card recruits 10 resellers, the Lease is taken care of.
 - **Transaction Fee:**
 - \$250 per loan processed, paid to Pinnacle AID.
- **BNPL Licensing & Revenue:**
 - **Reseller System License (Auto Repair, Cosmetic shops...):**
 - \$99/month
 - \$89 to Pinnacle AI
 - \$10 to Co-Card
 - **Transaction Fee:**
 - 1% of the collected interest to be paid to Co-Card

Merchant Account Model: \$10K Loan Breakdown

Component	Amount	Notes
Funded Amount	\$10,000	Gross funding
Factor Payback	\$12,500	1.25 factor
Total Fees	\$590	Underwriting + ACH
Net to Merchant	\$9,410	After fees
Daily Payment (120 days)	\$104.17	ACH debit
Total Cost to Merchant	\$3,090	Factor + fees
Revenue Split		
Party	Revenue	Calculation
Broker (Co-Card)	\$1,000	10% of funded amount
Funder (factor profit)	\$1,500	\$2,500 factor profit – \$1,000 broker
Co-Card (fees)	\$340	Underwriting + ACH
Pinnacle (fees)	\$250	System
Funder Total Revenue	\$2,090	Profit + fees

BNPL Model: \$1K Purchase Breakdown

Component	Amount	Notes
Purchase Amount	\$1,000	Ticket size
Merchant Discount Fee (5%)	\$50	BNPL provider fee
Net to Merchant	\$950	Merchant receives this
Consumer Total Paid	\$1,000	4 × \$250
Consumer Interest	\$0	Standard BNPL
Revenue Split		

Party	Revenue	Calculation
Broker (Co-Card)	\$10	20% of \$50 MDF
Pinnacle (fees)	\$15	
Funder / BNPL Provider	\$25	Remaining MDF
Total Revenue	\$50	Entire merchant fee

Revenue Model for Co-Card and Pinnacle AI

Time Line	Co-Card	Pinnacle-AI	MA Loan Count	MA Revenue (\$2k per \$10k MA Loan)	MA System Lease to Co-Card Client	MA System Lease Revenue	BNPL Vendor	BNPL Vender System Lease Revenue	BNPL Ticket Count	BNPL Revenue (\$50 per \$1k Ticket)	Co-card MA&BNPL Revenue	Pinnacle AI MA&BNPL Revenue
June 1, 2026	\$40k Intial Funding	Start buidling										
July 1, 2026	Sales & Marketing Team											
July 15, 2026	Underwriting Team	Beta Release										
Aug 1, 2026	\$8K Lease	Merchant Account Launch	20	\$40,000			1	99	20	\$1,000	\$35,710	\$5,390
Sep 1, 2026	\$8K Lease	BNBL Launch	40	\$80,000			1	99	40	\$2,000	\$71,410	\$10,690
Oct 1, 2026	\$8K Lease	System Hosting & Operation	80	\$160,000	1	5000	2	198	80	\$4,000	\$143,820	\$25,380
Nov 1, 2026	\$8K Lease		100	\$200,000	1	5000	4	396	100	\$5,000	\$179,540	\$30,860
Dec 1, 2026	\$8K Lease		100	\$200,000	2	10000	5	495	100	\$5,000	\$180,550	\$34,950
Jan 1, 2027	\$8K Lease		100	\$200,000	2	10000	10	990	200	\$10,000	\$184,100	\$36,900
Feb 1, 2027	\$8K Lease		150	\$300,000	4	20000	10	990	300	\$15,000	\$277,100	\$58,900

Mar 1, 2027	\$8K Lease		150	\$300,000	4	20000	10	990	400	\$20,000	\$280,600	\$60,400
Apr 1, 2027	\$8K Lease		150	\$300,000	4	20000	10	990	500	\$25,000	\$284,100	\$61,900
May 1, 2027	\$8K Lease		150	\$300,000	4	20000	15	1485	600	\$30,000	\$287,650	\$63,850
	\$120K commitment		Total	\$2,080,000		\$110,000		0	Total	\$117,000	\$1,924,580	\$389,220